



Rates Weekly — Macro Manv

SETUP · What to watch this week · Week of 11 May 2026

Week of 11 May 2026 — What to watch

The following is the model-derived relative value setup for the week ahead. All signals are based on carry, roll, and z-score dislocation — not forecasts.

CURVE SNAPSHOT

Tenor	Level (%)	ΔW (bps)	Δ1M (bps)	Z (252d)
1M	3.710	+0.0	+2.0	-0.79
3M	3.690	+0.0	+0.0	-0.68
6M	3.770	+3.0	+5.0	+0.73
1Y	3.790	+4.0	+9.0	+1.92
2Y	4.000	+10.0	+17.0	+2.67
3Y	4.000	+8.0	+16.0	+2.53
5Y	4.122	+10.2	+16.2	+2.56
7Y	4.283	+9.3	+15.3	+2.40
10Y	4.459	+7.9	+11.9	+2.33
20Y	5.030	+10.0	+13.0	+2.33
30Y	5.013	+6.3	+9.3	+2.04

HIGHEST CONVICTION RV SIGNAL

Receive 3Y5Y30Y fly

Tags: #HighConviction #Valuation #Fly #FrontEnd #Belly #LongEnd

Top-ranked structure on the screen with Sharpe **+0.57**, expected return **+12 bps/yr**, and risk 21. The structure looks rich versus history (z-score +1.38).

Why now: Carry and roll are doing the work; signal remains elevated despite rich valuation.

Regime fit: best in lower-vol, shock-fading environment.

Risk: renewed long-end selling or vol spike would delay reversion.

THEME BUILDING ACROSS THE CURVE

Signals are clustering in **7Y/30Y**-led receiver structures, including 2Y5Y30Y fly, 3Y5Y20Y fly, 2Y5Y20Y fly. This suggests the opportunity is thematic rather than isolated.

TOP SIGNALS BY SHARPE

Trade	Type	Z	E[Ret] bps/yr	Risk bps/yr	Sharpe	ΔW bps
Rcv 3Y/5Y/30Y	Fly	+1.38	+12	21	+0.57	+3.6

Trade	Type	Z	E[Ret] bps/yr	Risk bps/yr	Sharpe	ΔW bps
Rcv 2Y/5Y/30Y	Fly	-1.96	+18	32	+0.56	-2.1
Rcv 3Y/5Y/20Y	Fly	+0.70	+10	19	+0.53	+2.5
Rcv 2Y/5Y/20Y	Fly	-2.09	+16	32	+0.50	-2.8
Rcv 7Y/10Y/30Y	Fly	+0.28	+8	15	+0.50	+0.1
Rcv 3Y/7Y/30Y	Fly	-2.26	+10	22	+0.48	-0.5
Rcv 7Y/10Y/20Y	Fly	-2.09	+6	12	+0.47	-2.2
Rcv 2Y/7Y/30Y	Fly	-2.52	+17	42	+0.40	-4.9
Rcv 3Y/7Y/20Y	Fly	-2.39	+9	24	+0.37	-1.5
Rcv 2Y/7Y/20Y	Fly	-2.56	+15	43	+0.35	-5.6
Rcv 2Y/10Y/30Y	Fly	-2.64	+18	52	+0.34	-7.0
Rcv 5Y/10Y/30Y	Fly	-2.79	+7	21	+0.32	-3.2
Rcv 2Y/5Y/10Y	Fly	-2.25	+11	35	+0.31	-3.2
Rcv 2Y/10Y/20Y	Fly	-2.66	+16	53	+0.30	-7.8
Rcv 3Y/10Y/30Y	Fly	-2.52	+11	38	+0.30	-3.6

MOST STRETCHED — WATCH FOR REVERSAL

Receive 2Y/30Y curve — moved -74.8 bps last week and now screens cheap at z-score -2.66. Watch for mean reversion if vol stabilises.





Model estimates only · Not investment advice · Data sourced from public APIs